

**Draft for exact-file review**

Proposed language. Accepted source facts retain their original status. No execution, filing, payment or clearance is established by this edition.

Conditional future Red Wash product custody and carrier agreement

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This is a proposed synthetic instrument for exact-content review. It has not been signed, adopted, delivered to a counterparty or made effective. Existing accepted facts cited below remain controlling; new clauses are proposed terms, not retrospective evidence.

Operative-text convention: The clauses below are proposed contract language. “Shall” describes an obligation only upon future authorized execution and satisfaction of the stated conditions; no obligation, access right or operational activation arises from this unsigned draft.

1. Parties, purpose and nonactivation

Red Wash Mining, LLC shall be the shipper under this proposed future agreement. The carrier, receiving conversion facility and any separately authorized service provider remain unidentified pending qualification and commercial review. Pale Sun Inc. retains its accepted parent/business role without becoming the carrier. ARU and BS&T are not preselected providers and are not represented as qualified for uranium custody.

This proposed agreement covers contractual allocation of product-custody responsibilities and evidence. It contains no instructions for handling, packaging, routing, protecting or transporting radioactive material. Actual service shall require separately approved technical and legal arrangements by qualified parties. The draft does not authorize movement, represent a licence, or supply a regulator's determination.

The historical boundary remains unchanged: qualified external carriers performed 2025 Red Wash transport; ARU/BS&T had no pre-existing Red Wash relationship. The ordinary-inbound July 7, 2026 Taylor agreement excludes finished uranium concentrate and does not establish uranium authority through acid service. No new direct mine rail connection or spur is created by this form.

2. Conditions before any service order

No party shall be obliged or permitted under the proposed contract to accept product custody until a signed activation schedule identifies the actual legal parties, named service, product specification, permitted endpoints, applicable authority evidence, customer acceptance, insurance evidence, qualified personnel/equipment responsibilities, records interface and stop/escalation arrangements. The schedule shall identify the reviewer and validity period for each required qualification rather than relying on a global statement that all gates are green.

The activation decision must distinguish commercial approval, operating readiness and applicable external permissions. Approval of one is not acceptance of the others. An expired, inapplicable or unverifiable qualification shall keep the affected service inactive. A draft certificate, model permit identifier or generic insurance budget shall not satisfy the condition.

A service order shall identify only the agreed commercial movement and reference the approved operating documents. Technical routes, procedures and sensitive operating details shall be maintained through the appropriate controlled process rather than invented in this public case instrument. If a prospective provider cannot meet the conditions, Red Wash may retain qualified external service; no affiliate receives preference because of group ownership.

3. Scope of custody and retained responsibilities

Red Wash shall retain responsibility for its product-release decision, accurate tender information and the shipper obligations identified in its separately approved arrangements. The carrier shall be responsible for performance within the scope it is actually authorized to undertake and for its own custody event records. The receiving facility shall retain responsibility for its receiving and final-assay evidence under the applicable sale and delivery terms.

A handover shall identify the parties transferring custody, the relevant service order, product/lot identifier, recorded quantity basis, timestamp and exception status. Custody transfer shall not be inferred from an invoice, forecast delivery date or a vehicle being shown on a map. Any discrepancy between source timestamps shall remain visible with the originating party's correction record.

No party shall delegate a substantive responsibility by silently changing a field in the shared database. A proposed subcontractor shall require review of its exact role and qualification before any custody transfer. The prime carrier shall identify the subcontracted segment and retain its contractual responsibility for the agreed service; no unnamed chain of intermediaries shall be accepted merely because a single freight bill exists.

4. Product title, risk and assay

The accepted Red Wash commercial book reports natural uranium concentrate on a U₃O₈ basis. It does not include enrichment or fuel fabrication. Customer confirmations define quantity, tolerance, pricing basis and delivery terms. Final settlement follows receipt and assay at the named conversion-facility delivery point in the accepted model.

This custody agreement shall not independently change product title or the sale confirmation's risk allocation. Before activation, the parties shall reconcile custody, title, physical loss exposure, assay acceptance and payment terms in a single commercial cross-reference schedule. Where the sale confirmation and carrier proposal conflict, the affected service order shall remain unaccepted until the parties resolve the conflict explicitly.

Recorded shipped quantity, received quantity and final accepted quantity shall remain separate measures. An assay adjustment shall retain its original basis and any agreed independent/umpire procedure. The contract shall not permit either party to replace an inconvenient measurement with the forecast quantity. Nor shall it treat price realization at delivery as a published spot quote.

5. Service orders, price and invoicing

Each proposed service order shall state the approved movement ID, service description, commercial endpoints, quantity basis, price/currency, included services, identified pass-through charges, cancellation treatment and billing evidence. No rate, minimum volume, annual take-or-pay amount or revenue guarantee is supplied by this draft. The ordinary inbound rail/terminal/truck rates cannot be reused as uranium-custody prices.

A proposed invoice shall identify the performing legal entity, completed service evidence and accepted order rate. Unsupported pass-throughs, unused planned capacity and duplicated charges shall remain excluded. An order accepted for commercial planning but not activated shall not become earned revenue. The parties shall settle an undisputed supported invoice within a proposed 30 calendar days after receipt; that period is a new negotiable contract term, not an existing shipment payment fact.

Price review shall be prospective. A change in qualification cost, service scope or provider availability shall permit a new quote and Red Wash review, not silent backdating. Red Wash could choose an independently qualified alternative when the proposal is uncompetitive or unavailable. Consolidation shall eliminate any accepted intercompany balance only if the actual seller is a group entity; it shall not eliminate genuine external carrier cost.

6. Evidence custody and correction protocol

The proposed evidence schedule shall retain order acceptance, release authorization, each custody acknowledgment, receiving record, final assay reference, invoice and any exception/dispute. Each record shall identify its source organization, event time and timezone, creation time, relevant lot/service IDs, correction relationship and supporting authority reference. A downstream summary shall preserve links to those records rather than becoming their replacement.

The parties shall agree an offline-record process before activation. A later synchronized record shall retain the original event assertion and show who made any correction and why. This contractual requirement supplies no operational communications method. Missing records shall lead to an exception and corroboration request; the system must not invent an acknowledgment to make an end-to-end trace appear complete.

Access to evidence shall follow each party's legitimate role and information restrictions. A billing agent could inspect records needed for reconciliation without receiving unnecessary operational details. The parties shall preserve records needed for live disputes and agreed retention obligations; a final retention period shall be accepted through the relevant legal/control review rather than invented here.

7. Stop, refusal and incident responsibilities

Any party shall refuse or suspend the affected service when its authority, qualification, receiving readiness or required information is absent or materially inconsistent. Red Wash's operating stop authority remains effective. Commercial escalation cannot override a safety or qualification hold. A stop record shall state the scope and basis and identify the role responsible for a restart decision.

The proposed parties shall agree notification responsibilities and an approved incident-response interface before activation. This draft does not supply response tactics, technical thresholds or public routes. Each party shall preserve its observations, protect relevant evidence and cooperate with the responsible qualified authorities and operating owners under the accepted arrangements. A speculative cause shall not be recorded as an established finding.

Resumption shall require a recorded disposition by each responsible role for its own scope. A service-credit agreement shall not erase the incident record or waive unrelated injury, environmental or deliberate misconduct claims. Any proposed allocation of resulting costs shall identify the supported cause and avoid duplicate recovery.

8. Insurance, responsibility and termination

No insurer, policy, coverage amount or endorsement is asserted as obtained. The parties shall review coverage appropriate to the actual service and exclusions before adopting a final liability schedule. The \$2 million ordinary-inbound assumptions and the ordinary program's insurance budget are not evidence of coverage for this proposed product-custody service.

The proposed allocation is that each party bears supported loss attributable to its own negligent or wrongful performance within its agreed role, subject to a separately reviewed definitive allocation. No blanket transfer of historic mine environmental liabilities, railway legacy claims or acquisition indemnities is proposed. Numerical liability caps remain unresolved because no actual service, price or coverage has been selected.

Either party could terminate inactive negotiations without a volume penalty. After activation, an immediate affected-service suspension shall be available for loss of essential qualification; a proposed 30-day cure period shall apply only to remediable commercial breaches that do not require immediate suspension. Existing supported payment and evidence obligations shall survive termination. Governing law, forum, legal service addresses and signature authority remain for definitive review.

9. Activation schedule and current disposition

Activation subject	Current disposition	Evidence required before a future order
Actual carrier and receiving party	Unselected	Legal identity, authority and accepted service scope
ARU/BS&T uranium service	OPEN_GATED; no automatic authority	Separate accepted provider-specific qualification and operating decision
Product/order terms	No new order	Accepted sale/transport cross-reference and quantity/price basis
Technical and external permissions	Not supplied	Review of applicable evidence by qualified responsible parties
Insurance and liability	Not established	Accepted service-specific evidence and final allocation
Mine rail spur	Excluded	No spur proposal created by this instrument
Service start and signatures	Unestablished	Future execution and activation record

The agreement is a substantive future negotiating form. Its completion does not close the underlying uranium-custody gap, rewrite 2025 transport, or imply that the group has elected to replace external carriers. The next decision is whether to pursue a particular service and provider; operational activation remains a separate, evidence-dependent step.

Execution and schedule completion

The parties shall complete the following fields for the specific instrument or deployment selected. An unfilled field is not zero, waived, agreed or inapplicable. No name or mark is placed in a signature cell. A role listed for review is not an additional contracting party.

Completion field	Proposed entry / current state		
Selected instrument and schedule	UNSELECTED — identify exact site, deployment, right or service		
Contracting party completion	Known parties are named in the clauses; confirm any unselected counterparty and individual authority before execution		
Effective date and any separate commencement/activation date	UNESTABLISHED; no backdating		
Material commercial variables not fixed in the clauses	UNAGREED; complete the relevant financial schedule before execution		
Accepted exhibits and revisions	NOT ATTACHED; identify authoritative boundaries and source records		
Governing law, forum and notice addresses	UNAGREED; definitive legal review required		
Open exceptions and conditions precedent	UNSATISFIED unless individually supported in the execution record		
Party / review role	Signatory name and authority reference	Signature / acknowledgment	Date
Red Wash Mining, LLC — authorized shipper signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Selected qualified carrier — authorized signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Named receiving facility — interface acknowledgment	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Responsible operating and qualification reviewers — separate activation decision	UNESTABLISHED	NOT SIGNED	UNESTABLISHED

Execution of this form shall not constitute satisfaction of a separate condition precedent. The commencement or activation record shall list each accepted exhibit and unresolved exception, identify who may authorize the next step, and remain separate from any record of cash payment or performed service.

Source documents

- [industrial/transaction/08_INTERCOMPANY_LOGISTICS_AGREEMENT.md](#)
- [red_wash/agreements/TRANSACTION_AND_COMMERCIAL_INSTRUMENTS.md](#)
- [docs/canon/RED_WASH_TRANSACTION_OPERATING_RECORD_2026-09-05_R2.md](#)
- [industrial/operations/OPERATING_AND_SERVICE_PLAN.md](#)